

The financial industry must slog through a swamp of regulation, sometimes making it slow to adapt to new technologies. Recently the industry has been showing its age with numerous data breaches, near-monopolistic structures, and continued use of tools and models developed decades ago that still run the inefficient money systems in place today. However, the Tapscotts believe the days of “Franken-finance”—that convoluted, contradictory, and often irrational system of finance we’ve lived under for so many years—are “numbered as blockchain technology promises to make the next decade one of great upheaval and dislocation but also immense opportunity for those who seize it.”⁴

Recall from Chapter 2 that not all instances in which blockchain technology is used necessarily involve a cryptoasset (such as bitcoin or ether). In fact, thus far the majority of companies in the financial services space have opted for blockchain implementations void of cryptoassets. It is increasingly common for these implementations to be referred to as distributed ledger technology (DLT), which differentiates them from the blockchains of Bitcoin, Ethereum, and beyond. For companies pursuing a DLT strategy, they still utilize many of the innovations put forth by the developers of public blockchains, but they don’t have to associate themselves with those groups or share their networks. They pick and choose the parts of the software they want to use and run it on their own hardware in their own networks, similar to intranets (earlier referred to as private, permissioned blockchains).